The Courage to Change Mind

Why understanding human behavior makes a better investor

Xiaowen Chen (Xavier) | October 2026






Question · Imagine · Test · Accept

The four films

Prices are set by people. Four films show the four behaviors that move them



1 Question

12 Angry Men (1957)

Agreement is not evidence. Question the assumption



2 Imagine

The Man from Earth (2007)

Ask what else could be true; a hearing, not belief



3 Test

Moneyball (2011)

Instinct is a hypothesis. Test it against data



4 Accept

The Truman Show (1998)

Reality can be brutal. Accept it, then decide

Step 1 - Question what seems obvious

12 Angry Men (1957): agreement cannot replace examination



Vote result serves as the result only

The opening ballot: certainty without examination

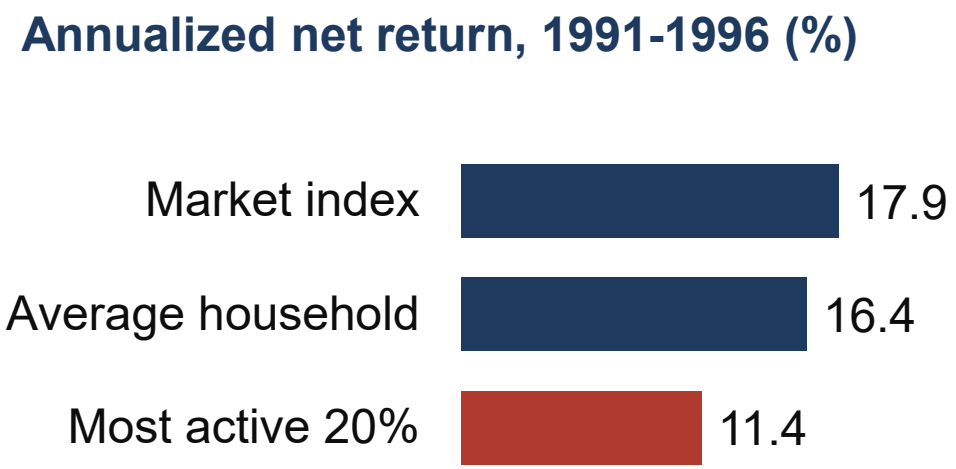


“In the short run, the market is a voting machine”

- Graham, as quoted by Buffett (1993 Berkshire letter)

Confidence was high. Results were not

Market moment: what 66,465 retail accounts earned, 1991-1996



The most active traders earned 6.5 points a year less than the market

The second knife

One fact removes the foundation under everyone's certainty



- The prosecution calls the switchblade one of a kind
- Juror 8 puts an identical knife on the table
- **It does not prove innocence. It breaks the assumption the others leaned on**

Before any position, I ask: what single fact would make me wrong?

DeepSeek: Nvidia's second knife

Market moment: 27 January 2025, the largest one-day loss in history

A cheaper Chinese model challenged the GPU-spending assumption

Nothing about the business changed that morning. An assumption did

$589bn

Market Value Nvidia erased in one session

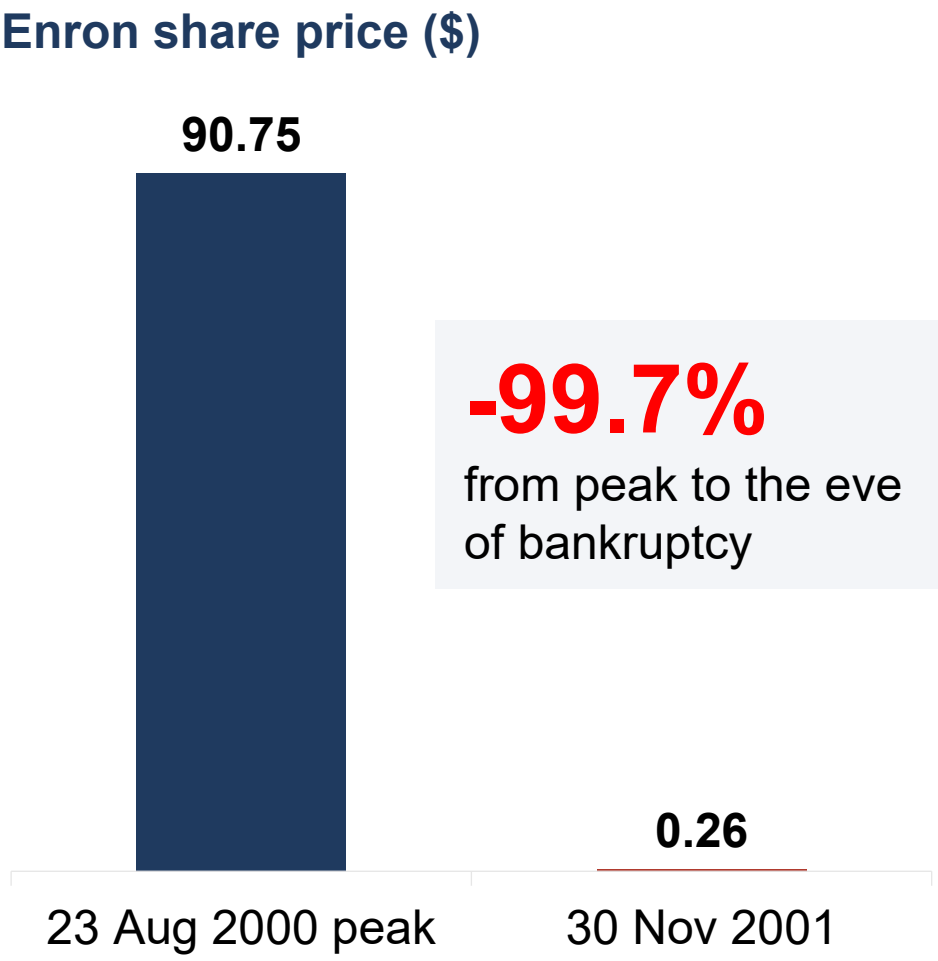


Test 1: can you see outside the market?

Juror 8 found the knife outside the courtroom. Chanos found Enron in the 10-K

Chanos shorted Enron in late 2000 by reading the 10-K, not the price

The market only knew what it wanted to know



-99.7%

from peak to the eve of bankruptcy

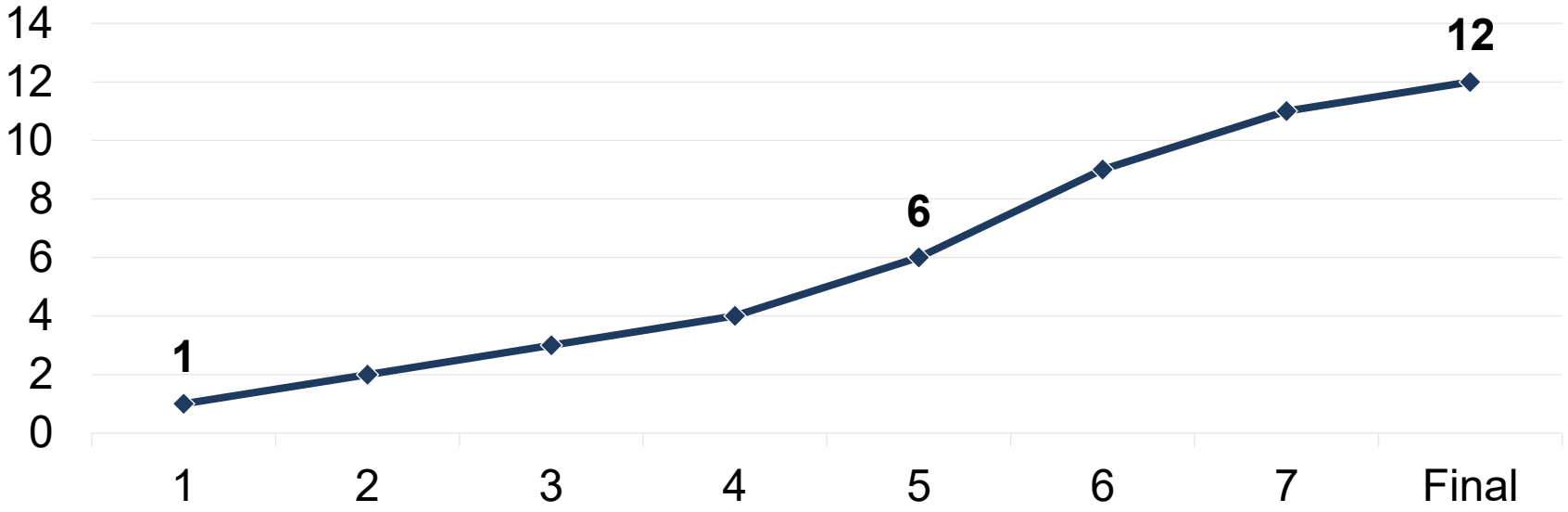
Test 2: can you persuade others to follow?

Being right is not enough. Capital follows a retraceable chain of evidence

- Juror 8 never shouts. He gives reasons, one ballot at a time
- **Eight ballots turn 1 vote into 12**



Not-guilty votes, ballot by ballot



Juror 3: emotion wearing the mask of judgment

The last holdout is not arguing from evidence at all

His rage at the defendant is really rage at his own son
He is the last to change, and the loudest



Is my certainty an analysis, or an emotion I have not acknowledged?

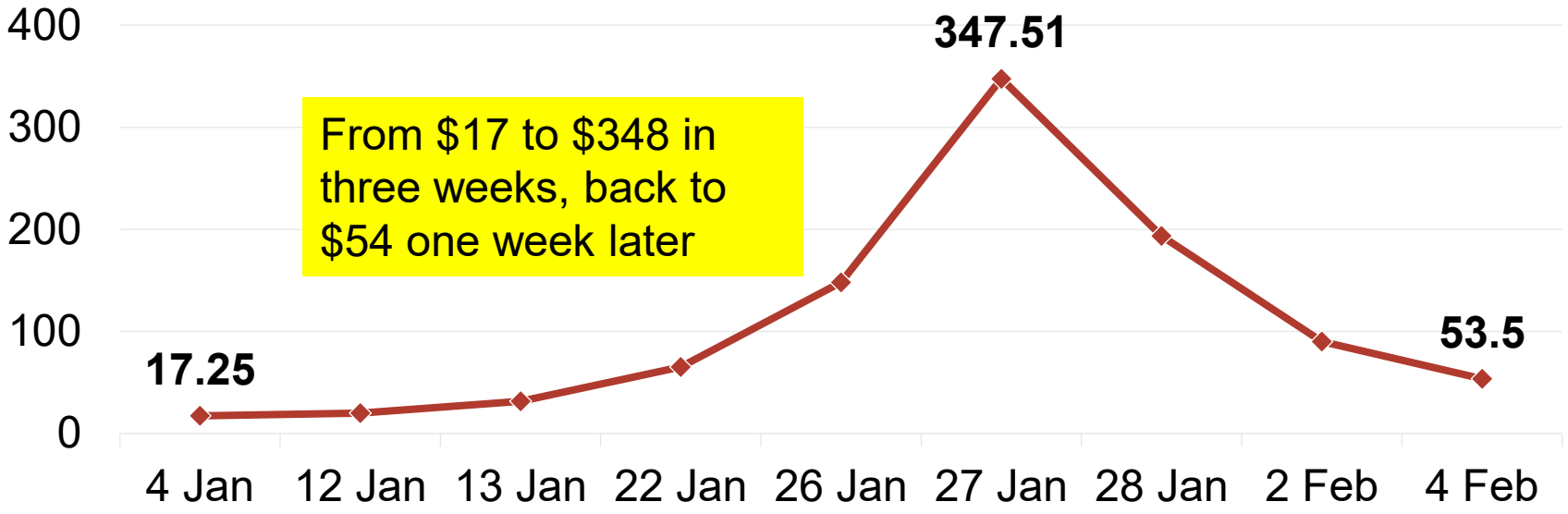
Market moment: GameStop, January 2021

A shared grievance against short sellers, not cash flows, set the price

- **Odean (1998): investors realize gains 50% more readily than losses. Holding a loser protects a story**



GameStop closing price ($)



2026 twist: AI gave the jury room color

Technology makes evidence look better while can be wrong



Original 1957



AI colored 2026

In AI era, it’s easier to make “Evidence”
Is that true evidence?

Market example: A fake image moved the S&P 500

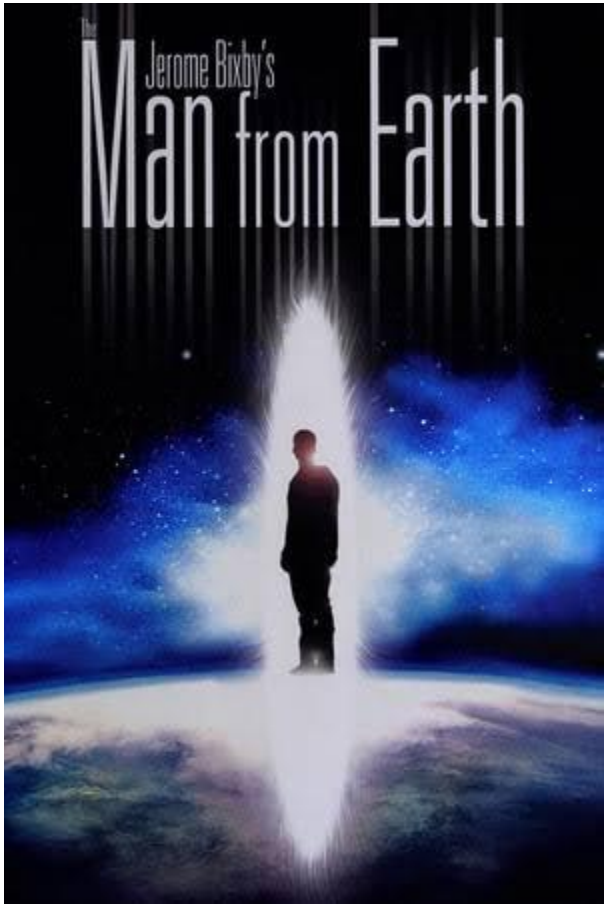
Market moment: 22 May 2023, the first AI-generated hoax to hit an index



- An AI image of a Pentagon explosion spread on X at about 10:06 am
- **The Dow fell about 80 points in minutes**

Step 2 - Imagine what else could be true

The Man from Earth (2007): a limited setting does not mean a limited idea



Fourteen thousand years in one living room

How a $200,000 film with no effects found a worldwide audience



$200k
production budget

1 room
one cabin, one night of conversation

14,000 yrs
of history crossed without leaving it

Why?

A great setting and an imagination that forces the viewer to think.

What imagination does for an investor

Three habits the film trains

1

Question the 'obvious fact'

Is the margin permanent? Is the moat really a moat? Which story fits?

2

Find the path others ignored

Cloud in 2006. GPUs for AI in 2012. Index funds in 1976. Each looked small at first

3

A fair hearing, not belief

Fascinating is not the same as convincing. Name the evidence that would confirm it



In markets the edge is rarely more data.

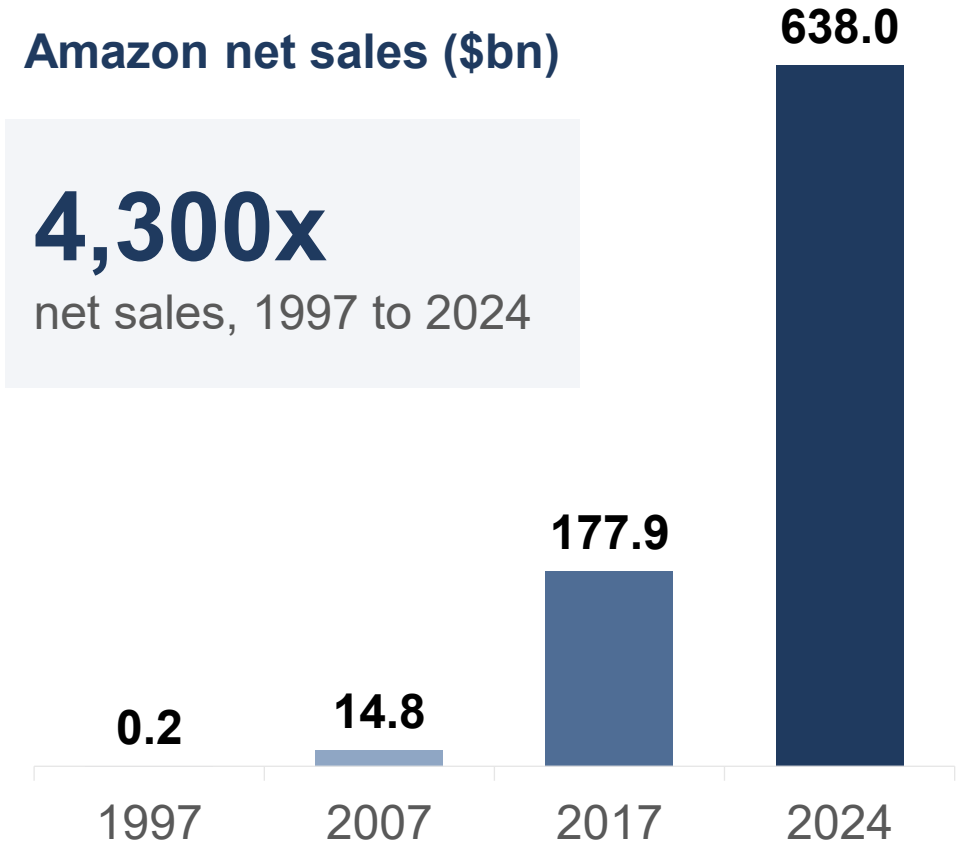
It is a question nobody else is asking of the same data. The professor's room had no spectacle, only a better question.

A path others ignored: Amazon, 1997

Market moment: an imaginative claim that named its own evidence

Bezos's 1997 letter: "It's all about the long term"

The vision was testable: customers, repeat purchase, cash flow

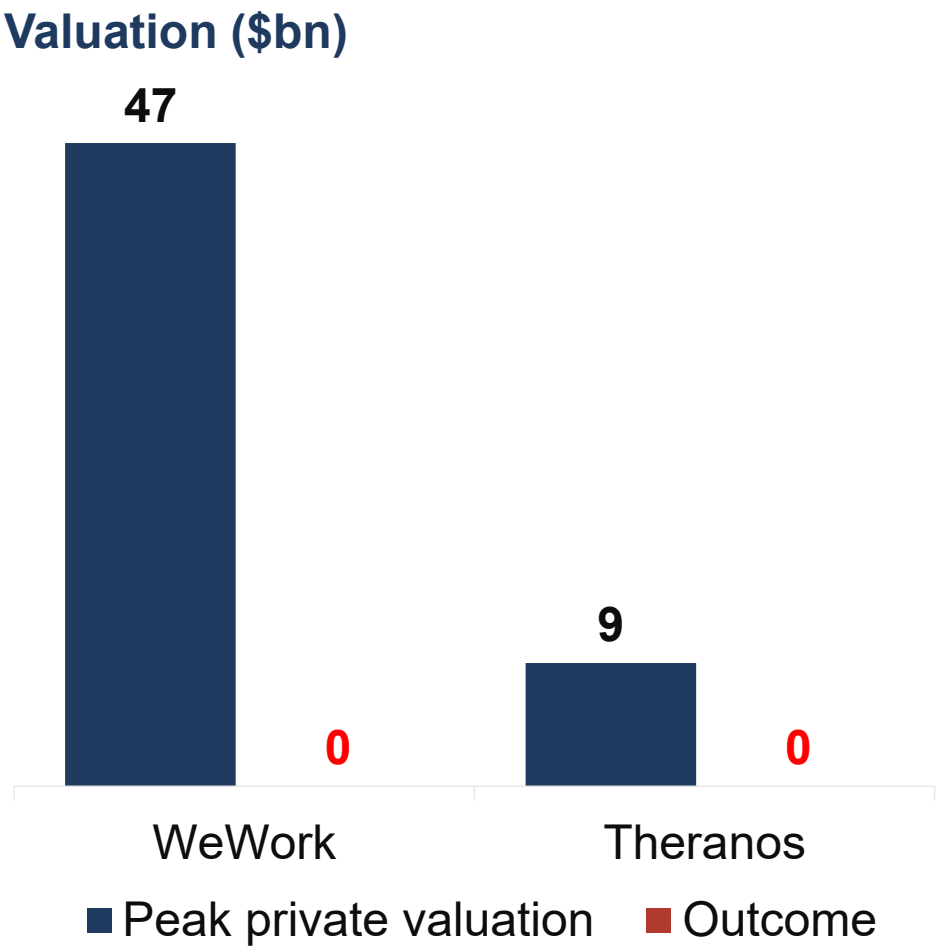


At the same time, fascinating is not convincing

Market moment: Theranos and WeWork failed the request 'show me the data'

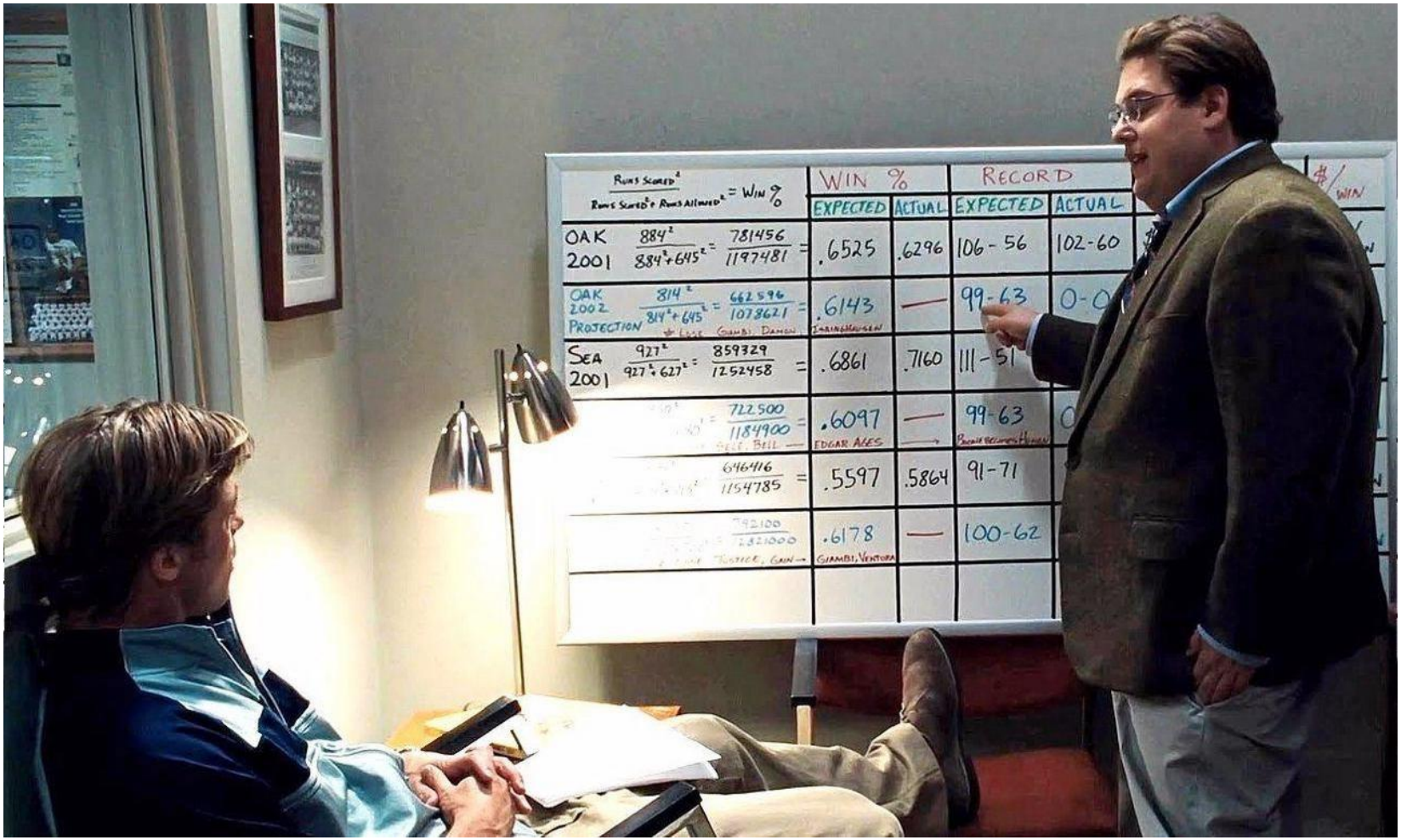
- Theranos dissolved in 2018; WeWork filed Chapter 11 in 2023
- **Imagination opens the door. Evidence decides whether I walk through**





Step 3 - Test confidence against evidence

Moneyball (2011): spending hours on an idea does not make it correct



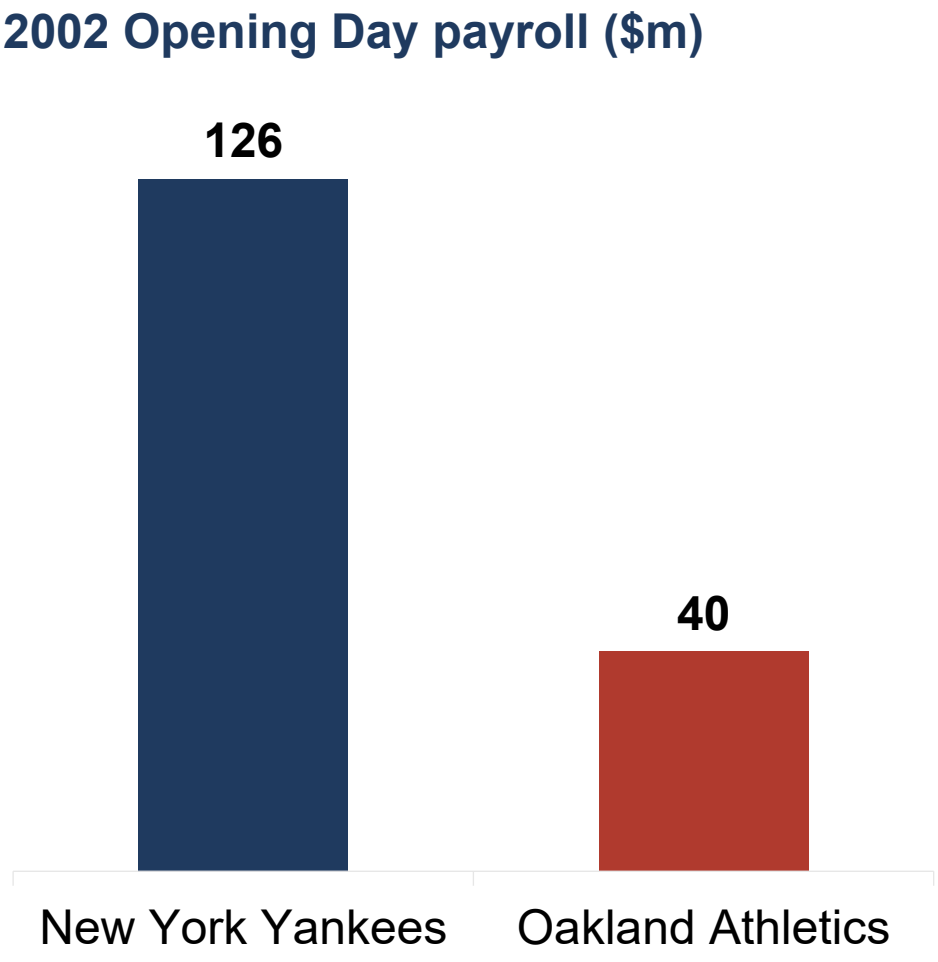
Oakland 2002: 103 wins at a third of the price

Market moment: price is the crowd's story; value is what the evidence says

- Both teams won 103 games. Oakland also set a 20-game streak
- **Everyone had the box scores. Oakland asked a better question**

$0.39m

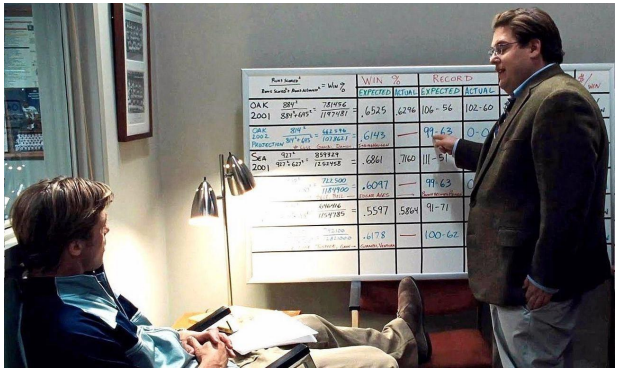
per win in Oakland vs $1.22m in New York

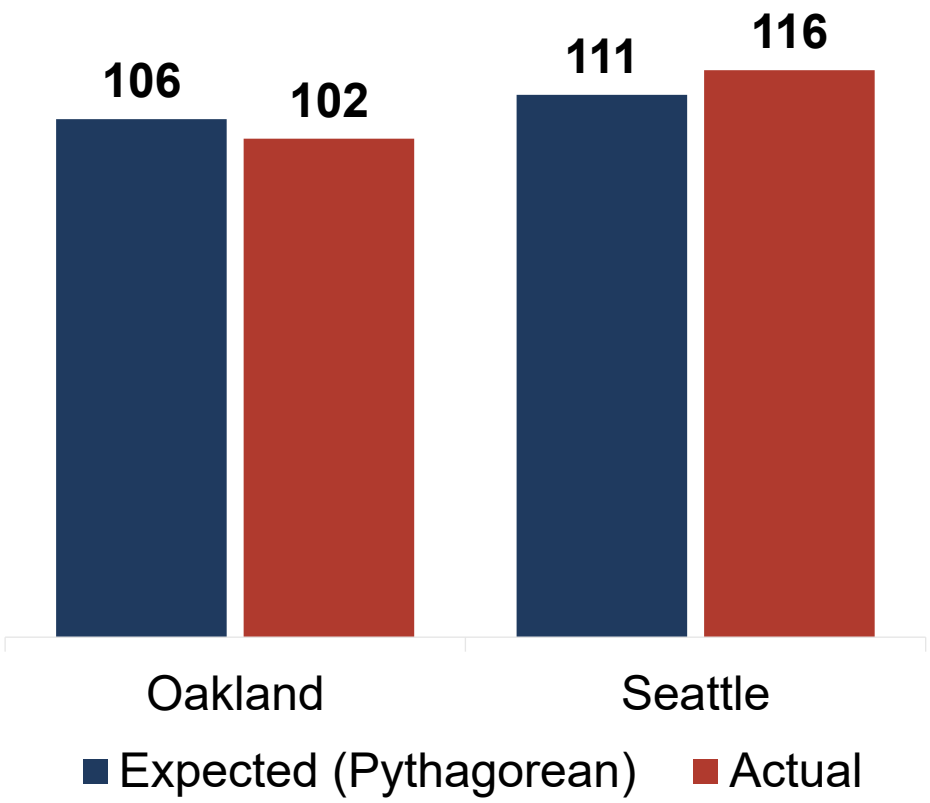


The whiteboard: a model you can check

Pythagorean expectation predicts wins from runs scored and allowed

- **Expected tracks actual within a few games. That is what a testable idea looks like**





The scouts' room: identity resists evidence

The hardest evidence to accept says my process, not my luck, was the problem



What the scouts defend

Decades of experience and the eye test. Their method is who they are

What Beane asks them to accept

That the method is mispriced: the box score buys wins cheaper

The quantitative method: check before you believe

Instinct is a starting point, not a conclusion

Idea
an instinct

→

Logic
why it should work

→

Backtest
does it, historically?

→

Adjust
or abandon

Instinct is not reliable on its own

Check: is the effect statistically obvious? Is the correlation strong enough?

Then check again: survivorship, look-ahead bias, costs, regime change



My backtests: intuition is a hypothesis

What happened when I turned chart patterns into rules

1

Hours on charts

Found patterns, built a story for each

2

Growing conviction

The longer I looked, the surer I became

3

Rules in Python

Coded the feelings and ran them on history

4

Result

None of the rules justified my confidence



Hours spent on an idea did not make it correct.

I had wanted confirmation more than criticism. Now, intuition is a hypothesis to test instead of preset conclusion.

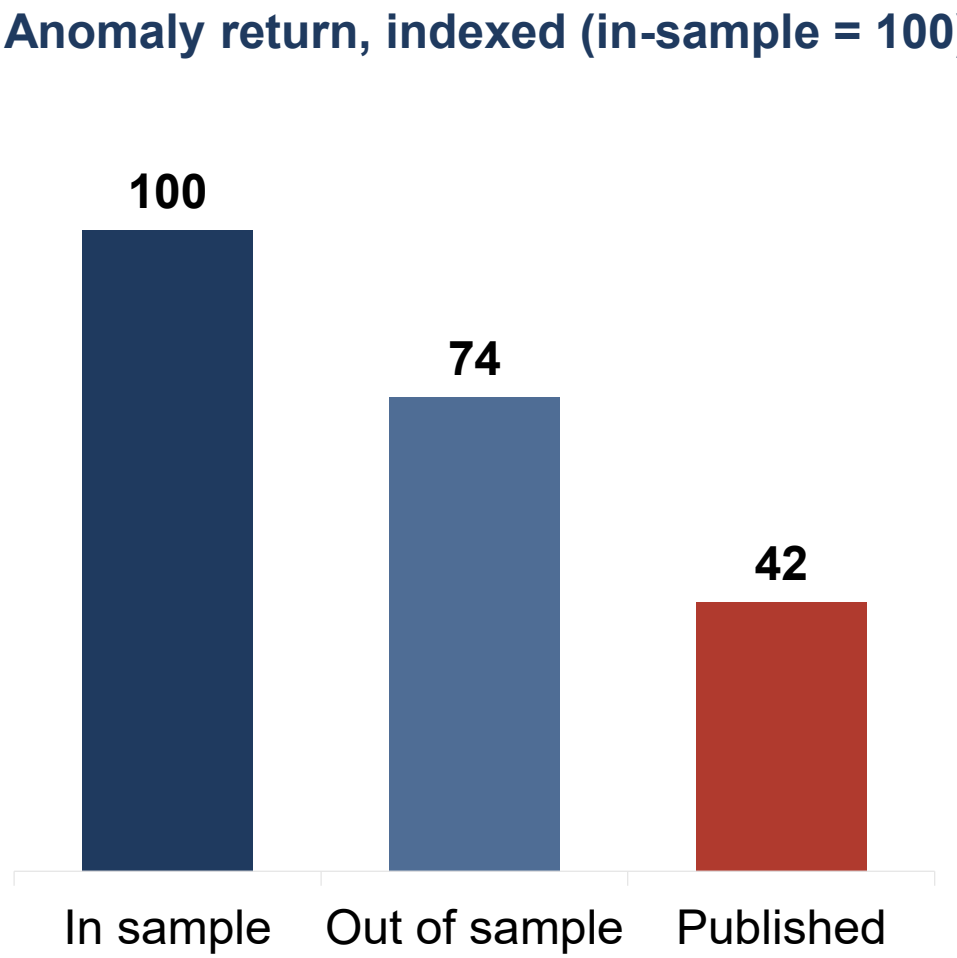
How many 'obvious' patterns survive a test?

Market evidence: anomalies lose most of their return once known

- 316 published factors; Harvey et al. demand t > 3
- **Returns fall 26% out of sample, 58% after publication**

-58%

of the edge gone after publication

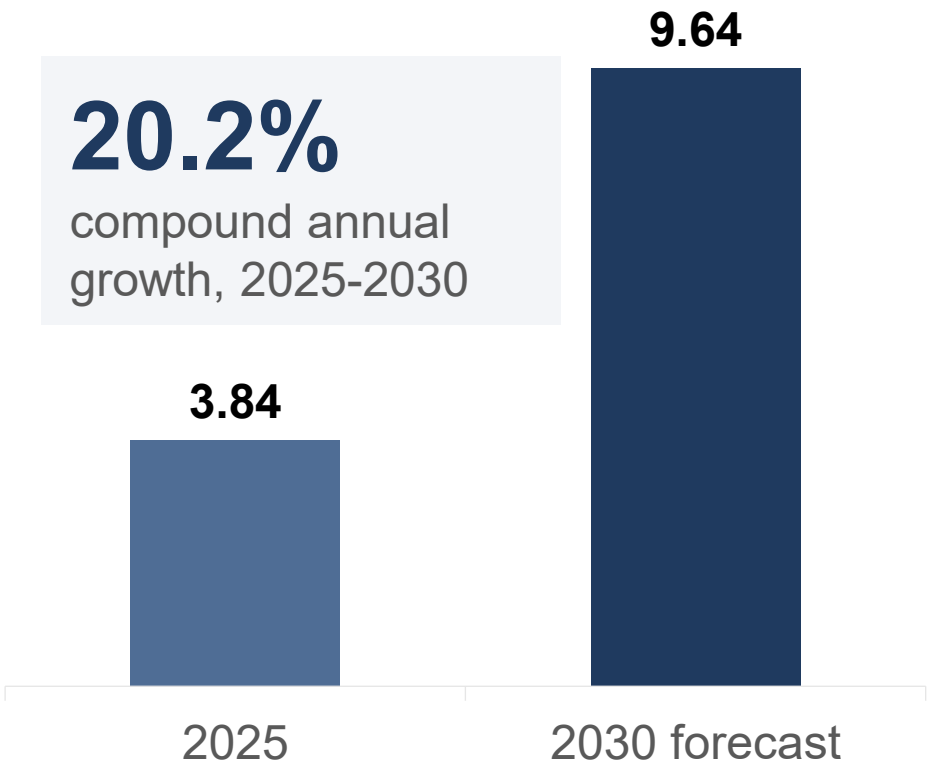


2026 twist: everyone has analytics now

Once every team counts OBP, OBP stops being cheap

- Sports analytics is a 20%-a-year market, not a contrarian idea
- **Testing must ask: who is on the other side of this trade now?**

Global sports analytics market ($bn)



Step 4 - Accept reality, and decide what to do next

The Truman Show (1998): the horizon he trusted was not a horizon at all



When the boat hits the painted sky

Reality is sometimes painful, even brutal. It still has to be accepted







For Truman, reality is:

The storm: Built to stop him. He sails through it
The wall: His bow hits a sky that was only paint
The door: Safety offered inside. He leaves with no guarantee

Fifteen years to walk back through the door

Sense of Reality: a correct narrative is not a correct price

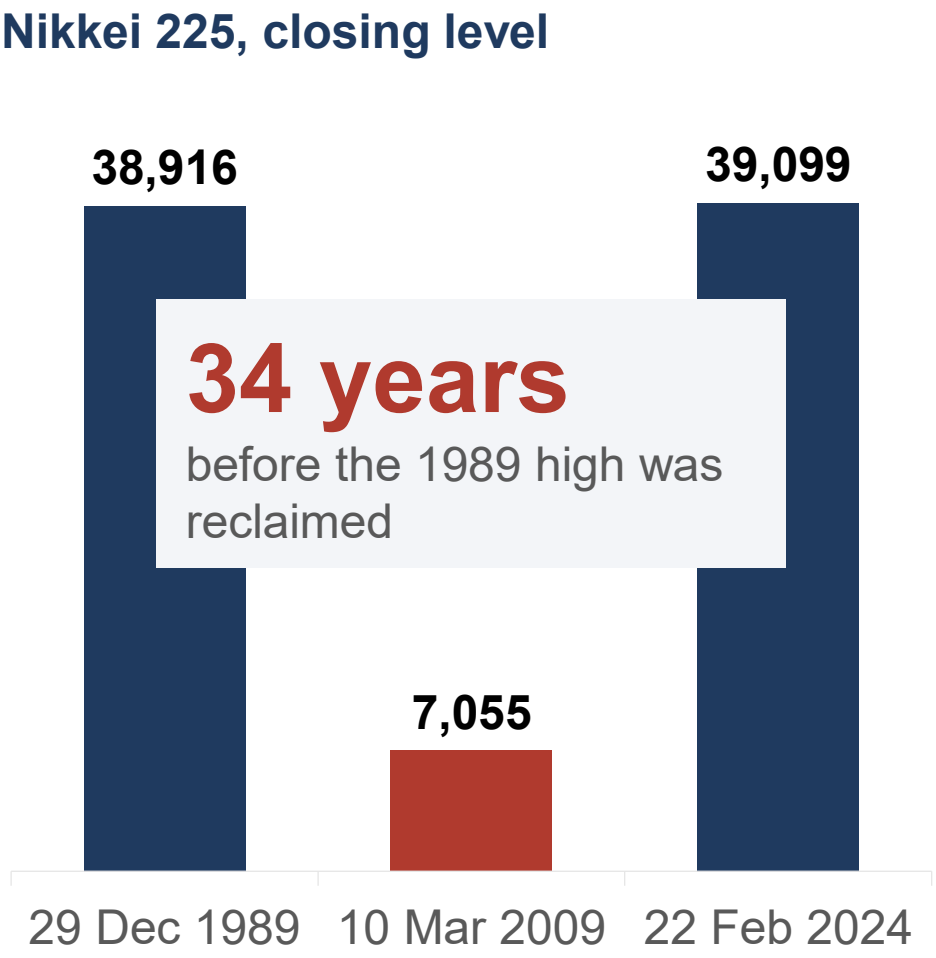
- Peak to trough: -78%
- **The index did not regain its March 2000 close until April 2015**



Thirty-four years: Japan's painted sky

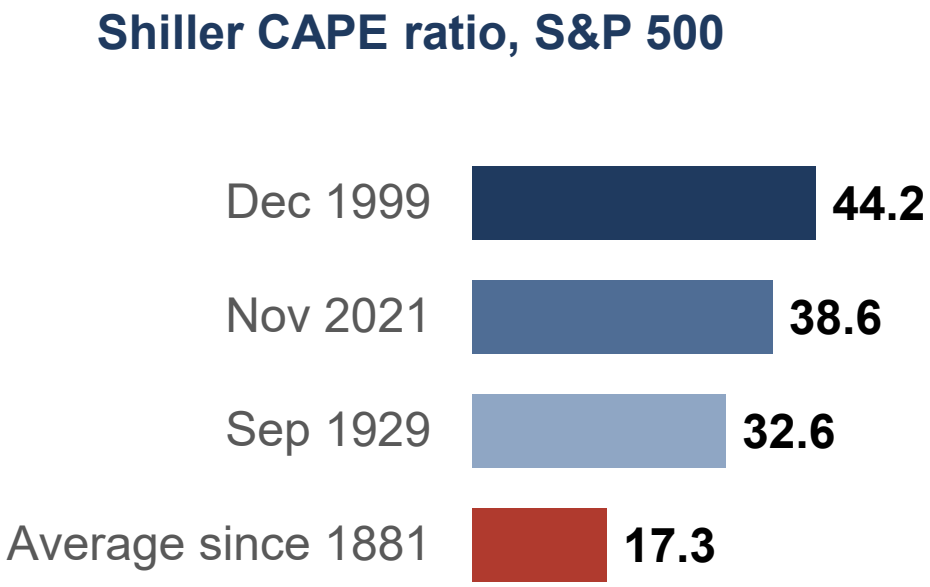
Market moment: a generation of investors waited for the old world to return

- The Nikkei 225 peaked on 29 December 1989
- **It did not close above that level until 22 February 2024**



People believe what they want to believe

Market evidence: valuation at the three great peaks versus the mean

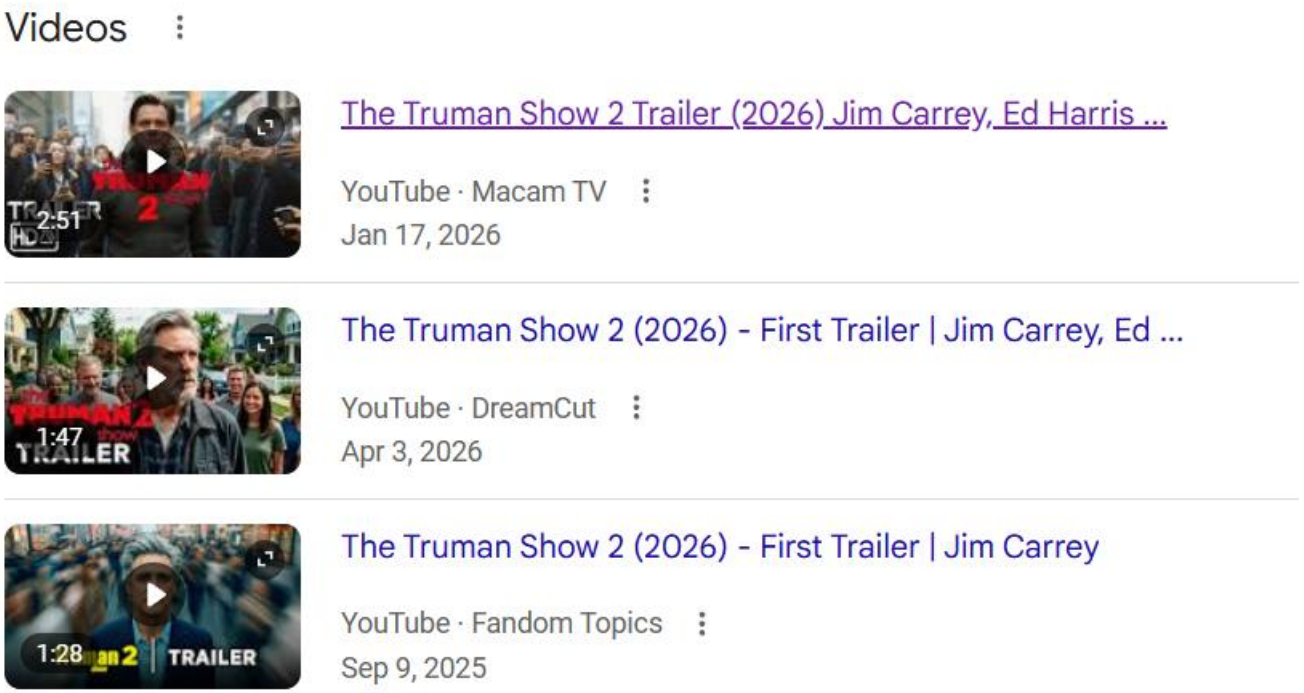


Each time, a new story explained why the old average no longer applied

2026 twist: the Truman Show 2 trailer I believed

In 2026 the painted sky is generated on demand. Verify before you accept

A 'Truman Show 2' trailer crossed my feed. I believed it until I fact-checked



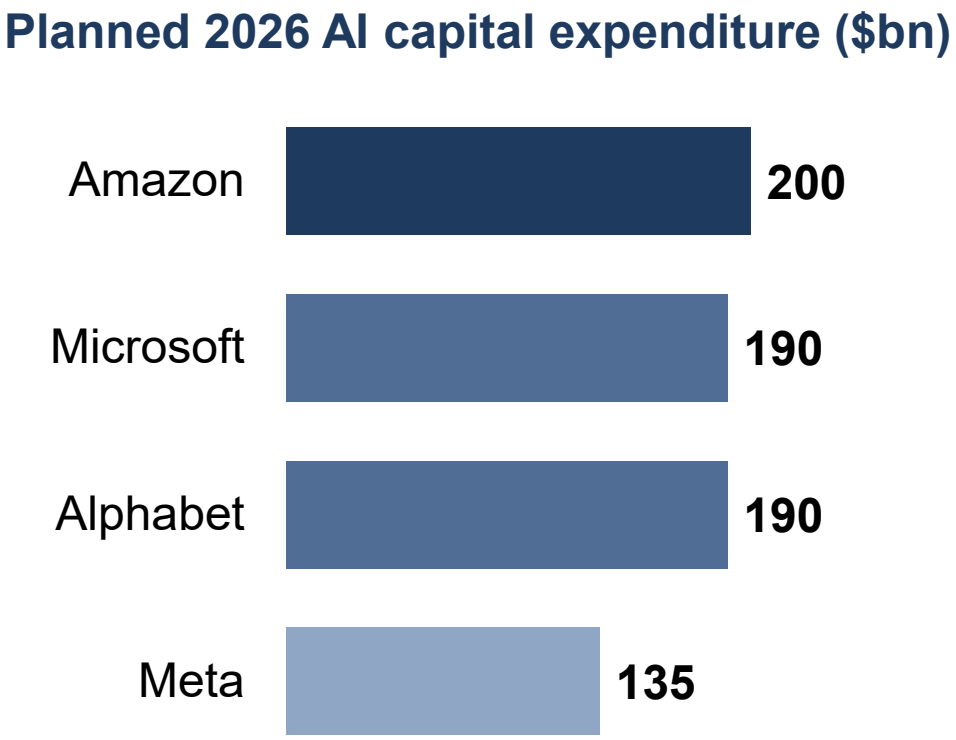
Fan channels such as KH Studio stitch AI footage and old clips into trailers dated 2026 or 2030

My rule: no primary source, no conviction

2026 is a capex cycle

Macro backdrop: four companies, $725 billion, one assumption

- **Plans rose from $670bn in January to $725bn by May. The boom phase, in one number**



$725bn

combined 2026 AI capex plans

The jury room today: a concentrated market

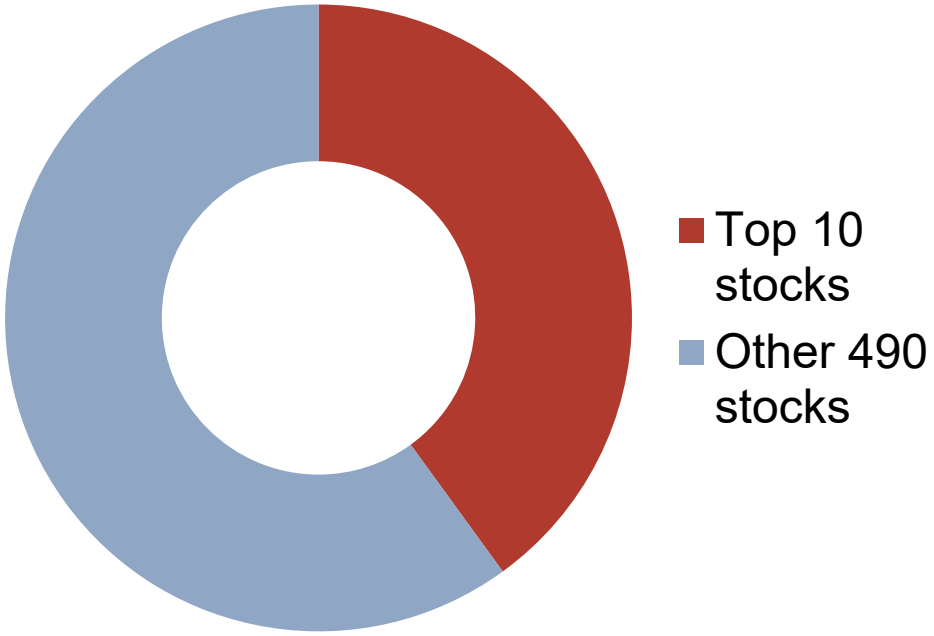
Ten stocks carry 40% of the index weight and 32% of its earnings

The vote on AI is close to 11-1. That is when the second knife matters most

19% → 40%

top-10 weight, 2015 to 2025

S&P 500 weight, year-end 2025



Steps to do right now

The cost of an unexamined assumption scales with how many people share it

- **Question: what single fact would break the AI capex story?**
- **Imagine: what if the returns accrue to users, not builders?**
- **Test: track capex against revenue, not against narrative**
- **Accept: pre-decide the evidence that would change my position**



"He was already thinking about the world after the crisis"

- What the Movies Taught me about Investing

The cycle map: behavior, film, market

Where human behavior enters each phase of the Kindleberger-Minsky cycle

Phase	Behavior	Film	Market
Displacement	A real new idea	Man from Earth	Internet 1995; AI 2022
Boom	Story replaces test	Moneyball scouts	Nasdaq 1998-99
Euphoria	Consensus = identity	12 Angry Men	GameStop 2021
Profit-taking	One fact breaks the frame	Second knife	DeepSeek 2025
Panic	Refuse, then accept	Truman Show	Nasdaq 2000-02

A four-step process

From four films to one checklist

Step	The question I ask	Evidence standard
1. Question	What am I assuming?	Primary source
2. Imagine	What else could be true?	Milestones written first
3. Test	Does the data agree?	Out-of-sample, t > 3
4. Accept	Have I hit the wall?	Pre-set exit rule



A better decision maker – with courage to change mind

Why understanding human behavior makes a better investor



Question

People vote 11 to 1

12 Angry Men



Imagine

People fall for stories

Man from Earth



Test

People defend their identities

Moneyball



Accept

People sail past the wall

Truman Show

Prices are set by people. A spreadsheet cannot tell me which of these four I am doing right now. Watching people under pressure can.

The goal is not to protect the story I first believed. It is to make a better decision now.